- ***Financial Economies*:** Big firms can float shares in the market for capital expansion, while small firms cannot easily float shares in the market.
- ***Managerial Economies*:** Large scale production facilitates specialisation and delegation.
- ***Labour Economies*:** Large scale production implies greater and minute division of labour. This leads to specialisation which enhances the quality. This increases the productivity of the firm.
- ***Marketing Economies*:** In the context of large scale production, the producers can both buy raw-materials in bulk at cheaper cost and can take the products to distant markets. They enjoy a huge bargaining power.
- ***Economies of Survival*:** Product diversification is possible when there is large scale production. This reduces the risk in production. Even if the market for one product collapses, market for other commodities offsets it.

3.6.2 External Economies of Scale

External Economies of Scale refer to changes in any factor outside the firm causing an improvement in the production process. This can take place in the case of industry also. These are the advantages enjoyed by all the firms in the industry due to the structural growth. Important external economies of scale are listed below.

1. *Increased transport facilities*
2. *Banking facilities*
3. *Development of townships*
4. *Development of information and communication*

3.7 Diseconomies of Scale

The diseconomies of scale are a disadvantage to a firm or an industry or an organisation. This necessarily increases the cost of production of a commodity or service. Further it delays the speed of the supply of the product to the market. These diseconomies are of two types:

a) *Internal Diseconomies of Scale: and*
b) *External Diseconomies of Scale*

3.7.1 Internal Diseconomies of Scale

When the scale of production increases beyond optimum limit, its efficiency may come down.

3.7.2 External Diseconomies of Scale

The term "External diseconomies of scale" refers to the threat or disturbance to a firm or an industry from factor lying outside it. For example a bus strike prevents the easy and correct entry of the workers into a firm. Similarly the rent of a firm increases very much if new economic units are established in the locality.

3.8 Iso-quants

Production function may involve, at a time, the use of more than one variable input. This is presented with the help of

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